

# Sun, Sand, and Services: Tourism and Household Welfare in Jamaica

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# Introduction: Can You Build An Economy Around Tourism Services?

## Tourism is a major global force:

- In 2000: ~700 million global travelers; by 2024: 1.3 billion.
- Comprised **9.1% of global GDP** in 2023 (WTTC)
- Employed **10.5% of global workforce** in 2019 (WTTC)
- Comprised 25% of all new jobs created worldwide (UNWTO 2023)

## Yet key questions remain:

- Ability to raise living standards
- Scope for back-linkages to other sectors
- Trade-offs between income and inflationary effects
- Inclusiveness across skill-levels
- Extent of spatial spillovers
- Which segments of the distribution benefit most

# Outline

1 Motivation

2 Empirical Approach

3 Results

4 Conclusions

# Research Question and What I Do

- **Research Question:** Are increases in the size of the Jamaican tourism industry **welfare improving** for Jamaican households? If so, **for whom**?

# Research Question and What I Do

- **Research Question:** Are increases in the size of the Jamaican tourism industry **welfare improving** for Jamaican households? If so, **for whom**?
- **What I Do:**
  - Use **Jamaica as a laboratory** to investigate impact of **tourism shocks** on local economies.
  - Harness **two decades** of rich tourist micro-data and household surveys.
  - Link households across **spatially consistent units**.
  - Instrument for endogenous tourism revenue with **shift-share instrumental variable**.
  - **Causally estimate** effects of tourism spending on **real household consumption**.
  - Quantify **heterogeneous impacts** across household demographics, space, and skill-level.

# Literature

- **Tourism and economic development** (Almagro and Domínguez-lino 2025; Allen et al. 2021; Faber and Gaubert 2019; Wattanakuljarus and Coxhead 2006)
  - Contribute by using granular, representative, household panel data.
  - Employ detailed tourist data spanning 2 decades.
- **The spatial characteristics of economic activity** (Aragón and Rud 2013; Moretti 2011)
  - Exploit temporal and spatial variation to identify the effects of positive service sector shocks.
  - Estimate heterogeneous welfare impacts on urban vs rural households.
- **Trade, structural change, and development** (Peters et al. 2026; Gollin et al. 2016; Rodrik 2016; Venables 2016; Hausmann et al. 2006)
  - Estimate spillover effects on workers in non-tourism sectors

# Talk Outline

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# Data Overview

## ● JSLC (2000–2019)

HH Stats

- Nationally representative LSMS-style household survey
- ~2,000 households & 6,000 individuals/year

## ● MOT Exit Survey (2000–2021, excl. 2007 & 2015)

Tourist Stats

- Tourists surveyed at Jamaica's 2 international airports
- ~80,000 stopover visitor parties
- **Detailed spending breakdown** by category and development area

## ● STATIN shapefiles for community/development area boundaries

Map

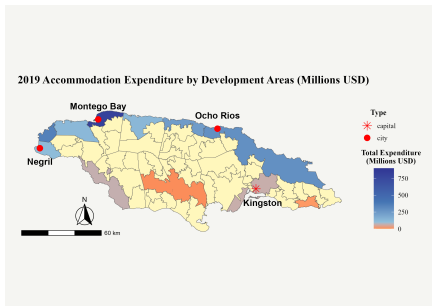
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- Date of arrival in Jamaica \_\_\_\_\_
  - Date of departure from Jamaica \_\_\_\_\_
- Is this your first visit to Jamaica?  
Yes ☐ No ☐
- What was the main purpose of your visit?  
Vacation ① Honeymoon ② Business ③  
Bus./Vac. ④ Convention ⑤ Other (Specify) ⑥ \_\_\_\_\_
- Are you on a Prepaid Package Tour?  
Yes ☐ No ☐ Skip to Question 5  
If Yes: i) What is a) the name of the Package? \_\_\_\_\_  
b) the name of the Tour Operating Company \_\_\_\_\_  
ii) Is your flight schedules or chartered?  
Scheduled ☐ Chartered ☐  
iii) What was the cost of your Package?  
(Specify Currency) \_\_\_\_\_  
iv) Did the Package include: (Tick those that apply)  
Airfare ☐ Accommodation (room only) ☐  
Accommodation (including meals) ☐ Car Rental ☐  
Transportation to and from Airport & Accommodation ☐ Sightseeing Tours ☐
- What type of accommodation did you use?  
Hotel ① Villa ② Apartment ③  
Guest House ④ Private Home ⑤ Other ⑥

*Sample MOT Exit Survey questionnaire*

# Overview: Jamaica and Tourism Services



## Tourism Accommodation Expenditures Across The Island (2019)

## Montego Bay, Jamaica

- Jamaica moved from specializing in agriculture/natural resources to services, which comprise **71%** of GDP (STATIN 2023)
- Tourism is **33%** of GDP when incorporating backlinkages (Moody, 2023).
- Growth Disconnect:** From 2000 – 2019 average tourism growth **5%**, GDP per-capita growth: Between **1%** and **–1%** (World Bank).

Jamaica Tourism Stats

# Conceptual Framework

I adapt the framework of Moretti (2010) and Aragón and Rud (2013) for local industry shocks. **Two welfare channels from a positive tourism shock:**

- ① **Employment/Wages:** Labor demand shock  $\Rightarrow$  employment/wage increases in tourism and linked sectors. Offset by price increases in non-tradables if labor is scarce.
  - Wages not observed. Use real household expenditures to proxy.
- ② **Tourist non-accommodation spending:** Tourists spend on local goods, food, entertainment. Strength depends on integration of tourist experience with local economy.

**Key prediction:** Welfare improves only if earnings gains outweigh local price increases.

# Empirical Strategy: SSIV Specification

## 2SLS specification:

$$\text{Stage 1: } Tourism_{dt} = \chi + \phi Bartik_{dt} + \iota X_{idt} + \omega D_t + \pi C_d + \eta_{idt} \quad (1)$$

$$\text{Stage 2: } Y_{idt} = \alpha + \beta Tourism_{d,t} + \psi X_{idt} + \rho D_t + \lambda C_d + \epsilon_{idt} \quad (2)$$

**Identification:** We are concerned that  $Tourism_{d,t}$  is correlated with unobserved area characteristics. The Shift-Share instrument  $z_i = \sum_k s_{ik} g_k$  is:

- **Correlated** with tourism expenditures (strong first stage)
- **Plausibly exogenous:** identification requires either (i) exogeneity of the shifts, or (ii) exogeneity of the base year shares (Borusyak et al. 2024)
- This paper uses shift-based exogeneity.

Standard errors clustered at the **development area level**.

Variable Definitions

# SSIV: Construction & Illustration

**Construction:** For each development area  $d$  in year  $t$ :

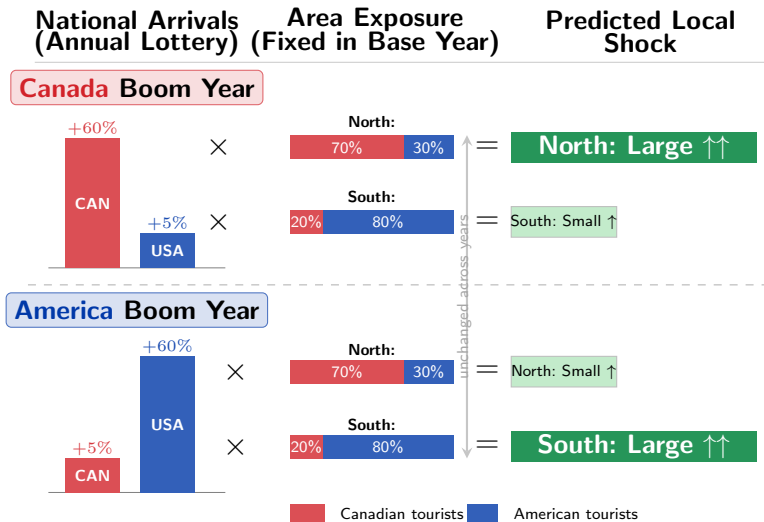
$$Bartik_{dt} = \sum_{r \in R} \underbrace{\frac{T_{dr0}}{T_{d0}}}_{\text{Share: base-year tourist origin mix}} \underbrace{\left( \frac{T_{-drt} - T_{-dr0}}{T_{-dr0}} \right)}_{\text{Shift: national growth by tourist origin region}} \quad (3)$$

**Intuition (North/South example):**

- Suppose 90% of North Jamaica's revenues come from Canadians; only 10% in the South.
- A sudden surge in Canadian tourists doubles their Jamaica spending.
- **The North—with higher Canadian exposure—sees a larger predicted increase in tourism revenues.**
- This **differential exposure**, driven by **pre-determined base-year shares**, identifies the causal effect.

[Exposure Maps](#)
[Regional Expenditures](#)
[First Stage Plot](#)
[Construction Details](#)

# The Shift-Share Lottery: Visual Intuition



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# Results Roadmap

- 1 **Baseline Urban-Rural Heterogeneity**
- 2 **Welfare and Poverty Impacts**
- 3 **Heterogeneity Across Skill-Levels**
- 4 **Robustness To Alternative Explanations**

# Tourism Benefits Only Accrue To A Subset of Urban Households

Table: IV-Breakdown Across Urban-Rural

|                                            | Annual Log Per-Capita Expenditure       |                                         |                                         |
|--------------------------------------------|-----------------------------------------|-----------------------------------------|-----------------------------------------|
|                                            | Urban Areas<br>(1)                      | Rural Areas<br>(2)                      | Rural and Urban<br>(3)                  |
| <b>Panel A: Second Stage</b>               |                                         |                                         |                                         |
| Tourism Expenditure (Tens of Millions USD) | 0.027***<br>(0.005)<br>[.01429, .03908] | -0.003<br>(0.010)<br>[-0.024, 0.017]    | 0.011<br>(0.007)<br>[-0.003, 0.026]     |
| Observations                               | 11447                                   | 19163                                   | 30610                                   |
| Number of Clusters                         | 34                                      | 57                                      | 59                                      |
| Bootstrapped Hypothesis Test               | Yes                                     | No                                      | No                                      |
| <b>Panel B: First Stage</b>                |                                         |                                         |                                         |
| Shift-Share Instrument                     | 11.889***<br>(1.418)<br>[9.109, 14.668] | 11.882***<br>(2.544)<br>[6.896, 16.868] | 11.920***<br>(1.633)<br>[8.719, 15.122] |
| First-Stage F-Statistic                    | 70                                      | 22                                      | 53                                      |
| Observations                               | 11447                                   | 19163                                   | 30610                                   |

*Notes:* Bootstrapped standard errors in parentheses; bootstrapped CIs in brackets. Year and development area fixed effects are included, along with controls for household size, the sex of the household head, and urban-rural status. Accommodations Expenditures in millions of 2024 U.S. Dollars. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$ .

# Quantifying the Effects: Magnitude

- **Coefficient of .0027:** a \$1 million increase in accommodation expenditures  $\Rightarrow$  0.26% increase in real consumption.
- $\sim$ \$3.8 million in additional accommodation spending  $\Rightarrow$  1% increase in real per-capita consumption.
- $\sim$ \$36 gain in real consumption for every \$3.8 million in additional tourism for this urban subset.
- Median real per-capita expenditure is  $\sim$ \$3052 USD over the study period.

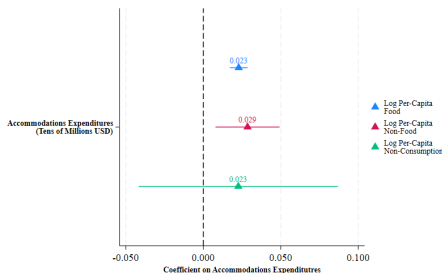
The average 5-year change in tourism earnings for a development area is \$31.06 million  $\Rightarrow$  real per-capita consumption in affected communities rises  $\sim$ \$288 USD on average over 5 years.

- AKM-corrected standard errors confirm robustness of these main findings. [AKM Table](#)

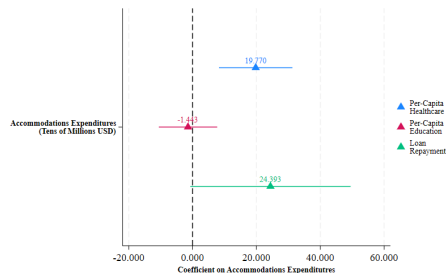
[Expenditure Distribution](#)

# Welfare Measures: There Are Increases in Real Consumption for Urban Households

**Logs: Food, Non-Food, Non-Consumption**



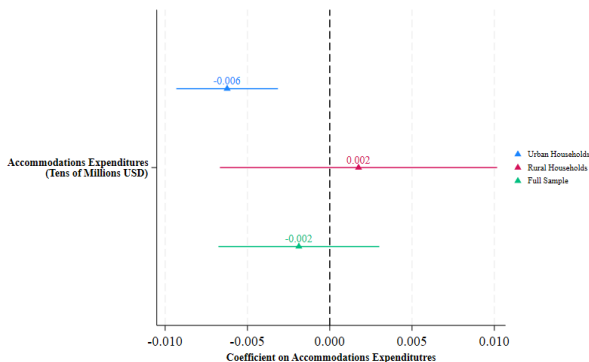
**Levels: Healthcare, Education, Loan Repayment**



- Increased area tourism revenues result in increased real food and non-food consumption, including increased real expenditures on healthcare.

# Reductions in Poverty Are Concentrated Within Urban Areas

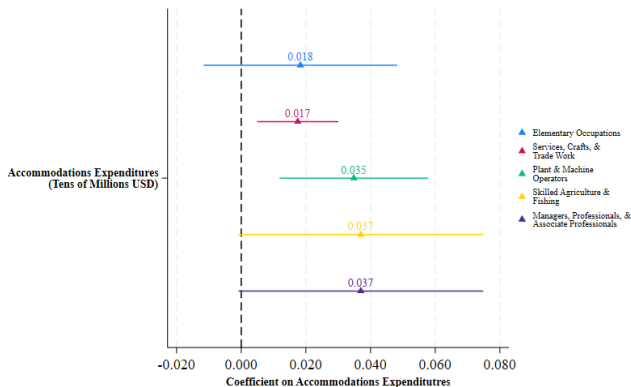
Figure: Cross-Section Comparison of Impact of Tourism Revenues on Poverty Across Rural and Urban Areas



- **Tourism Revenues Reduce The Likelihood of Households Falling Into Poverty in Urban Development Areas**

# Service & Manufacturing Occupations Benefit Most

Figure: Cross-Section Comparison of IV Coefficients Across Occupation Categories—Urban Non-Kingston

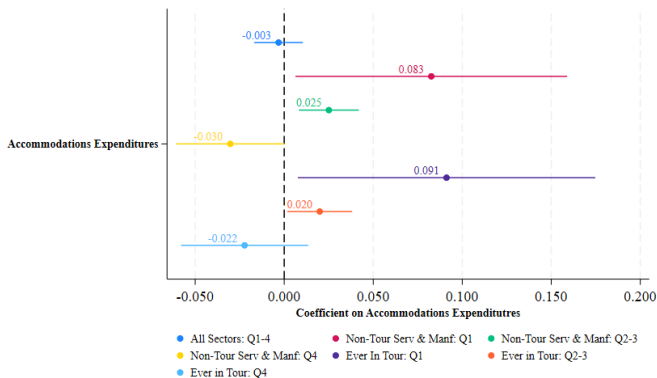


- Medium-skilled occupations in select urban areas appear to benefit the most.

Regression Table

# Panel: Manufacturing and Non-Tourism Services Drive The Observed Effects

Figure: Panel Comparison of Coefficients Across Industries of Employment



- Workers in Non-Tourism Services and Manufacturing Are the Main Beneficiaries.

# There is Little Evidence Of Large Impacts by Tourism on Cost of Living

**Table:** IV: Regression of Cost of Living Variables On Tourism

|                                            | Real Per-Capita Rent<br>(1)          |
|--------------------------------------------|--------------------------------------|
| Tourism Expenditure (Tens of Millions USD) | 10.620<br>(6.772)<br>[-3.158,24.397] |
| First-Stage F-Statistic                    | 72                                   |
| Observations                               | 11442                                |

*Notes:* The result above includes the coefficient estimate, followed by the standard error in parentheses. There is a vector of household controls, development area dummies and year dummies. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$ .

- **Per-Capita Expenditures on rent are not affected by increases in area tourism revenues.**

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# Conclusions

- **Tourism Specialization Results in Heterogeneous Outcomes:**
  - **Mid-skilled, urban** workers in **non-tourism services** and **manufacturing** are the primary beneficiaries.
  - Few impacts observed for **rural, low-skilled**, and **tourism sector** workers.
  - **Little evidence** of significant **inflationary** effects.
- **Implications for Research and Policy**
  - **Potential** for tourism services to generate spillovers across sectors, and support mid-skilled labor.
  - Some limitations in the ability of tourism services to generate economic gains across space, and **even within the sector itself**.
  - **Enclave-style** tourism in developing contexts may shield local communities from localized inflation.
  - Future work should investigate the role played by the **type** of tourism and the **competitive structure** of the sector. See: *Market Structure and Development: Firm Competition in Jamaica's Hotel Industry* McKetty(2026)

# Thank You

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# Regression Equation Variables

## 2SLS specification:

$$\text{Stage 1: } Tourism_{dt} = \chi + \phi SSIV_{dt} + \iota X_{idt} + \omega D_t + \pi C_d + \eta_{idt} \quad (4)$$

$$\text{Stage 2: } Y_{idt} = \alpha + \beta Tourism_{d,t} + \psi X_{idt} + \rho D_t + \lambda C_d + \epsilon_{idt} \quad (5)$$

- $Y_{idt}$  is per-capita expenditure, or poverty status for in household  $i$ , in development area  $d$ , in year  $t$ .
- The term  $Tourism_{d,t}$  is the total expenditure on accommodations in year  $t$  in development area  $d$ .
- The variable  $SSIV_{dt}$  is the shift-share instrumental variable
- Here  $X_{idt}$  is a vector of household level controls,
- The term  $D_t$  is a time dummy.
- $C_d$  are development area dummies
- $\epsilon_{idt}$  Standard errors are clustered at the development area level.

Return: SSIV Empirical Specification

# SSIV Construction & Illustration Variables

I then construct a Shift-Share instrument  $SSIV$  for each development area  $d$  in each year  $t$  of the analysis, which exploits the variation over time in which development areas of Jamaica tourists from different origin countries choose to visit.

$$SSIV_{dt} = \sum_{r \in R} \frac{T_{dr0}}{T_{d0}} \left( \frac{T_{-drt} - T_{-dr0}}{T_{-dr0}} \right), \quad (6)$$

- where  $T_{dr0}$  is total expenditure on accommodations in  $d$  by tourists from region  $r$  during the base period  $t = 0$ .
- the term  $T_{d0}$  is also spending on accommodations in development area  $d$  during the base period.
- A SSIV is made up of two components:
  - The proportion (or **share**) of spending done by tourists from certain global regions in a particular community in some base year.
  - The total amount of spending by tourists from said region in each year of the study (or the **shift**).

Return: SSIV Construction & Illustration

# AKM-Corrected Standard Errors

**Table: AKM-Corrected Standard Errors: Urban Households**

| Method                                | Estimate  | Std.Error | P.Value  | Left.CI | Right.CI |
|---------------------------------------|-----------|-----------|----------|---------|----------|
| <b>IV Estimates: Urban Households</b> |           |           |          |         |          |
| Homoscedastic                         | 0.0266*** | 0.0064    | 7.99e-03 | 0.014   | 0.0391   |
| EHW                                   | 0.0266*** | 0.0067    | 9.57e-03 | 0.0134  | 0.0397   |
| Reg. Cluster                          | 0.0266    | 0.005     | 1.14e-01 | 0.0168  | 0.0363   |
| AKM                                   | 0.0266*** | 0.006     | 0.00e+00 | 0.0148  | 0.0383   |
| AKM0                                  | 0.0266*** | 0.0078    | 3.10e-07 | 0.0186  | 0.049    |

AKM-corrected standard errors account for serial correlation in the shift-share instrument.

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# Distribution of Per-Capita Expenditure

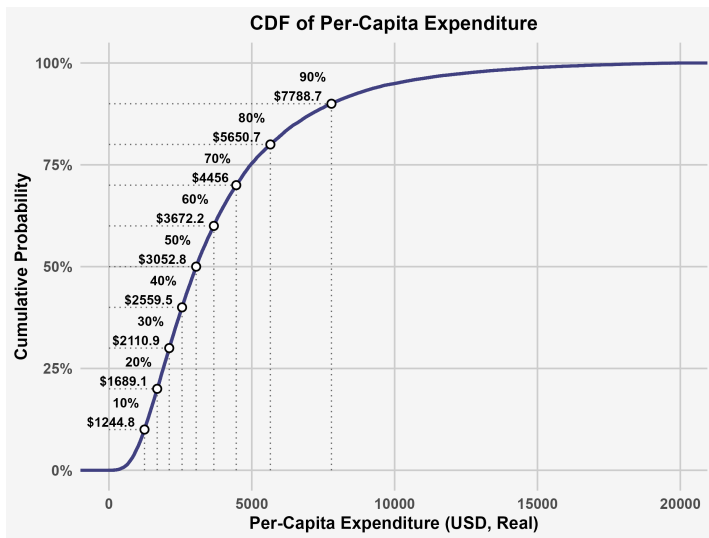


Figure: CDF of Per-Capita Expenditure

# Development Areas Have Heterogeneous Exposure To Tourists From Different Regions Over Time

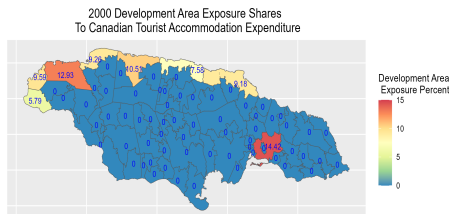


Figure: Canada Exposure Shares 2000

2019 Exposure Share of Each Development Area to Accommodations Expenditures b

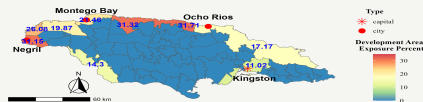
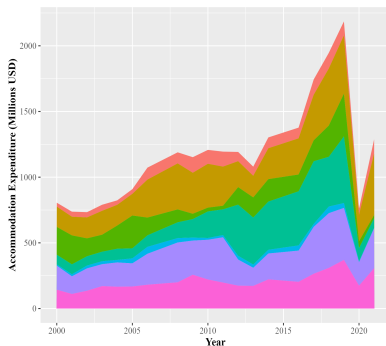


Figure: DA Canada Exposure Shares 2019

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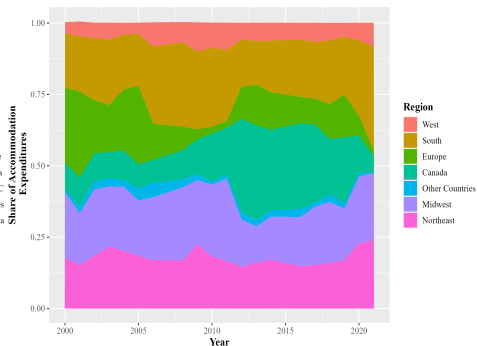
# The Magnitude and Share of Expenditures By Region Vary Over Time

**Total Annual Accommodation Expenditures In Jamaica and Contribution of Tourists From Different Regions 2000-2021**



**(a) Level of Expenditures By Region**

**Share of Total Annual Accommodation Expenditures In Jamaica By Tourists From Different Regions 2000-2021**



**(b) Share of Expenditures by Region**

# First Stage: Shift-Share Instrument and Tourism Revenues

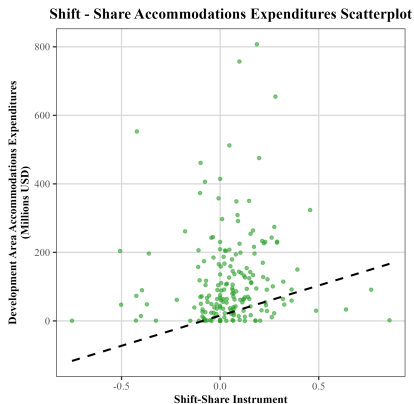


Figure: Relationship Between Shift-Share Instrument and Endogenous Regressor

# Welfare Measures: Regression Table

Table: IV: Welfare and Spending Categories

|                                            | Log-Expenditure Outcomes                |                                         |                                      | Level Welfare Outcomes                |                                      |                                   |
|--------------------------------------------|-----------------------------------------|-----------------------------------------|--------------------------------------|---------------------------------------|--------------------------------------|-----------------------------------|
|                                            | Log Per-Capita Food (1)                 | Log Per-Capita Non-Food (2)             | Log Per-Capita Non-Consumption (3)   | Per-Capita Healthcare (4)             | Per-Capita Education (5)             | Loan Repayment (6)                |
| Tourism Expenditure (Tens of Millions USD) | 0.023***<br>(0.003)<br>[.01853, .02983] | 0.029**<br>(0.010)<br>[.003635, .05586] | 0.023<br>(0.033)<br>[-.08037, .0884] | 19.770**<br>(5.656)<br>[4.143, 35.02] | -1.443<br>(4.498)<br>[-11.94, 11.29] | 24.393<br>(9.746)<br>[-7.233, 43] |
| First-Stage F-Statistic                    | 70                                      | 72                                      | 77                                   | 70                                    | 70                                   | 71                                |
| Observations                               | 11438                                   | 11432                                   | 7217                                 | 10599                                 | 10599                                | 6951                              |

Bootstrapped standard errors in parentheses. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$ .

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# Poverty: Regression Table

**Table: IV: Poverty Outcomes**

|                                            | Likelihood of Household Being Below the Poverty Line |                                     |                                      |
|--------------------------------------------|------------------------------------------------------|-------------------------------------|--------------------------------------|
|                                            | Urban<br>(1)                                         | Rural<br>(2)                        | Full Sample<br>(3)                   |
| Tourism Expenditure (Tens of Millions USD) | -0.006**<br>(0.002)<br>[-0.010, -0.002]              | 0.002<br>(0.004)<br>[-0.008, 0.011] | -0.002<br>(0.002)<br>[-0.007, 0.003] |
| First-Stage F-Statistic                    | 70                                                   | 22                                  | 53                                   |
| Observations                               | 11448                                                | 19164                               | 30612                                |

Bootstrapped standard errors in parentheses. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$ .

[Return](#)

# Occupations: Regression Table

Table: IV: Occupation Heterogeneity—Urban Non-Kingston

|                                            | Skill-Level 1 Occupations<br>(Excluding Kingston) | Skill-Level 2<br>Occupations (Excluding Kingston) |                              |                                  | Skill-Levels 3 & 4<br>Occupations (Including Kingston) |
|--------------------------------------------|---------------------------------------------------|---------------------------------------------------|------------------------------|----------------------------------|--------------------------------------------------------|
|                                            | Elementary<br>Occupations                         | Service, Craft,<br>Trade Work                     | Plant & Machine<br>Operators | Skilled Agriculture &<br>Fishing | Managers, Professionals &<br>Associate Professionals   |
| Tourism Expenditure (Tens of Millions USD) | 0.018<br>(0.015)                                  | 0.017***<br>(0.006)                               | 0.035***<br>(0.011)          | 0.037*<br>(0.019)                | 0.049<br>(0.031)                                       |
| First-Stage F-Statistic                    | 41                                                | 64                                                | 80                           | 40                               | 7                                                      |
| Observations                               | 1505                                              | 3909                                              | 2838                         | 845                              | 1768                                                   |
| Bootstrapped P-Value                       | 0.224                                             | 0.029                                             | 0.001                        | 0.112                            | 0.245                                                  |
| Number of Clusters                         | 34                                                | 34                                                | 34                           | 33                               | 34                                                     |
| Bootstrapped Standard Errors               | Yes                                               | Yes                                               | Yes                          | Yes                              | Yes                                                    |
| Household Control                          | Yes                                               | Yes                                               | Yes                          | Yes                              | Yes                                                    |
| Household Fixed Effects                    | Yes                                               | Yes                                               | Yes                          | Yes                              | Yes                                                    |
| Year Fixed Effects                         | Yes                                               | Yes                                               | Yes                          | Yes                              | Yes                                                    |

Bootstrapped standard errors in parentheses. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$ .

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# Manufacturing and Non-Tourism Services: Regression Table

Table: IV: Industry Panel

|                                            | All Sectors                         | Non-Tourism Services & Manufacturing |                                      |                                      | Ever Employed in Tourism            |                                     |                                     |
|--------------------------------------------|-------------------------------------|--------------------------------------|--------------------------------------|--------------------------------------|-------------------------------------|-------------------------------------|-------------------------------------|
|                                            | All Quartiles                       | Quartile: 1                          | Quartiles: 2-3                       | Quartile: 4                          | Quartile: 1                         | Quartiles: 2-3                      | Quartile: 4                         |
| Tourism Expenditure (Tens of Millions USD) | -0.003<br>(0.007)<br>[-0.017,0.011] | 0.083**<br>(0.038)<br>[0.006,0.159]  | 0.025***<br>(0.008)<br>[0.008,0.042] | -0.030*<br>(0.015)<br>[-0.061,0.000] | 0.091**<br>(0.041)<br>[0.008,0.175] | 0.020**<br>(0.009)<br>[0.002,0.038] | -0.022<br>(0.018)<br>[-0.058,0.013] |
| First-Stage F-Statistic                    | 26                                  | 8                                    | 64                                   | 13                                   | 11                                  | 59                                  | 13                                  |
| Observations                               | 6032                                | 313                                  | 1133                                 | 713                                  | 225                                 | 826                                 | 543                                 |
| Number of Clusters                         | 58                                  | 45                                   | 53                                   | 45                                   | 39                                  | 46                                  | 38                                  |

Bootstrapped standard errors in parentheses. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$ .

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# Household Summary Statistics

**Table: JSLC Household Sample Summary Statistics**

|                                                   | Mean    | Median  | SD       |
|---------------------------------------------------|---------|---------|----------|
| Per-Capita Consumption                            | 3020.99 | 2326.76 | 2682.68  |
| Per-Capita Total Expenditure                      | 3294.84 | 2415.31 | 3307.689 |
| Per-Capita Food Expenditure                       | 1450.57 | 1162.94 | 1307.787 |
| Per-Capita Non-Food Expenditure                   | 1571.12 | 1087.53 | 1803.881 |
| Per Capita Non Consumption Expenditure.(USD 2019) | 380.11  | 49.67   | 1217.168 |
| Non-Food Share of Consumption Expenditure         | 0.49    | 0.49    | 0.140    |
| Non-Food Share of Tot. Expenditure                | 0.47    | 0.46    | 0.135    |
| Consumption Share of Tot. Expenditure             | 0.96    | 0.99    | 0.086    |
| Years of Schooling                                | 12.15   | 12.00   | 4.307    |
| Household Decile                                  | 5.26    | 5.00    | 2.833    |
| Male HH Head                                      | 0.51    | 1.00    | 0.500    |
| Female HH Head                                    | 0.41    | 0.00    | 0.491    |
| Single Male                                       | 0.06    | 0.00    | 0.241    |
| Single Female                                     | 0.02    | 0.00    | 0.144    |
| Observations                                      | 29566   |         |          |

All expenditure values in 2024 USD. Sample restricted to regression years.

# MOT Exit Survey: Tourist Summary Statistics

**Table: Summary Statistics: Stopover Visitors (2000–2021)**

|                             | Mean    | Standard Deviation | Median  |
|-----------------------------|---------|--------------------|---------|
| Avg. Accom Price per Person | 590.03  | 495.58             | 520.69  |
| Number of People in Party   | 1.95    | 0.96               | 2.00    |
| Total Cost of Trip          | 2706.91 | 1845.23            | 2350.90 |
| Length of Stay              | 7.47    | 5.88               | 7.00    |
| Visit for Vacation          | 0.74    | 0.44               | 1.00    |
| Return Visitor              | 0.47    | 0.50               | 0.00    |
| Summer Visitor              | 0.57    | 0.49               | 1.00    |
| Income Over US60,000        | 0.50    | 0.50               | 0.00    |
| Observations                | 78774   |                    |         |

Based on MOT exit survey microdata. All monetary values in USD.

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# Jamaica: Development Areas and Tourism Geography

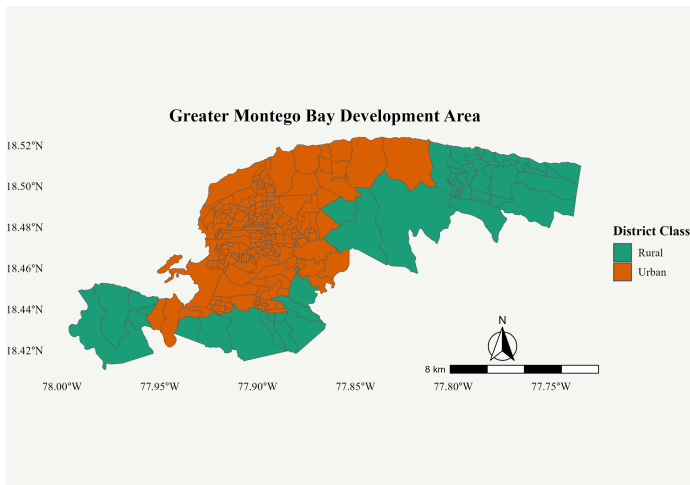


Figure: Jamaica Development Areas

# Jamaica Tourism Statistics

**Table: Jamaican Tourism: Scale and Infrastructure**

| Indicator                                                                  | Value                  |
|----------------------------------------------------------------------------|------------------------|
| <b>Panel B: Jamaican &amp; Caribbean Tourism</b>                           |                        |
| Total Tourist Arrivals to Jamaica (2024)                                   | 4.15 Million (MOT)     |
| Total Stopover Arrivals to Jamaica (2024)                                  | 2.9 Million (MOT)      |
| Total Cruise Passenger Arrivals to Jamaica (2024)                          | 1.25 Million (MOT)     |
| Total Roomnights Sold in Jamaica (2024)                                    | 5.75 Million (MOT)     |
| Jamaica Total Tourism Earnings (2024)                                      | 4.2 billion USD (MOT)  |
| <b>Panel C: Jamaican Tourism Sector Capital Stock &amp; Infrastructure</b> |                        |
| Jamaica Hotel Room Capacity (2024)                                         | 26,427 Rooms (MOT)     |
| Average Growth in Hotel Room Stock (2000-2024)                             | 2.6% (MOT)             |
| Total Number of Hotels (2024)                                              | 210 Properties (MOT)   |
| Total Number of Workers in Accommodation & Restaurant Services (2024)      | 43,913 (MOT)           |
| 2025/2026 Ministry of Tourism Budget                                       | 95.5 Million USD (MOT) |

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# There is No Effect of Tourism on Household Expenditures on Average

**Table: SSIV: Relationship Between Accommodation Spending and Real Log Household Expenditure**

|                                           | Log Per-Capita Expenditure(USD) |                      |                          |
|-------------------------------------------|---------------------------------|----------------------|--------------------------|
|                                           | (1)                             | (2)                  | (3)                      |
| Accommodations Expenditures(Millions USD) | 9.2e-04*<br>(4.2e-04)           | 8.0e-04<br>(6.7e-04) | -8.8e-04<br>(7.7e-04)    |
| Household Size                            |                                 |                      | -1.4e-01***<br>(3.7e-03) |
| Rural Enum. District                      |                                 |                      | -1.4e-01***<br>(2.3e-02) |
| Female Household Head                     |                                 |                      | -6.3e-02***<br>(1.1e-02) |
| First-Stage F-Statistic                   | 4                               | 6                    | 7                        |
| Observations                              | 38117                           | 38117                | 38117                    |
| Standard Deviation                        | 0.732                           | 0.732                | 0.732                    |
| HH Controls                               | No                              | No                   | Yes                      |
| DA Dummies                                | No                              | No                   | Yes                      |
| Year Dummies                              | No                              | Yes                  | Yes                      |

Accommodation Expenditures are in millions of 2024 U.S. Dollars. Household expenditures are deflated using Jamaican regional price indexes. Shift-share shocks are demeaned.

[Return: Results Roadmap](#)